

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA CGM S.A.

Respondent

**Complainant's response to CMA's proposed
findings of fact.**

1. Background

RPFF1. CMA CGM, S.A. ("CMA") is a vessel-operating common carrier (VOCC) as defined by 46 U.S.C. § 40102(7). Respondent's Answer, p. 2.

Response: Admit

RPFF2. CMA is a common carrier that is privately owned and organized under the laws of France with its principal place of business at 4 Quai d'Arenc, 13215 Marseilles Cedex 02, France. *Id.*

Response: Unable to admit or deny as no citation is made to anything in the record on this point.

RPFF3. CMA's agent in the United States is CMA CGM (America) LLC ("CCA") with offices at 1 Meadowlands Plaza, Suite 201, East Rutherford, NJ 07073 and 1 CMA CGM Way, Norfolk, VA 23502. *Id.*

Response: Admit.

RPFF4. CMA provides ocean transportation of property between the United States, including *inter alia*, the Port of New York, and foreign ports. *Id.*

Response: Admit.

RPFF5. Marine Transport Logistics, Inc. (“MTL”) is a corporation organized under the laws of the state of New York, with a place of business at 63 New Hook Road, Bayonne, NJ 07002, a place of business at 172 Backeland Avenue, Middlesex, NJ 08846, and a place of business at 300 West Service Road, Staten Island, NY 10314. RX1 at 21:17-19; RX2 at 17:9-18.21

Response: Admit.

RPFF6. MTL is principally owned by Alla Solovyeva. RX2 at 16:15-19.

Response: Admit.

RPFF7. MTL is a non-vessel operating common carrier (NVOCC), freight forwarder, and ocean transportation intermediary as defined by 46 U.S.C. § 40102(17), (19), and (20). RX1 at 21:1-2, 30:1-6; RX2 at 69:19-21.

Response: Admit.

RPFF8. MTL has one overseas office, located in Odesa, Ukraine that was established in 2018.¹ RX1 at 23:1-6.

Response: Admit as to the location of the office.

RPFF9. MTL’s primary business is the shipping of used automobile exports from the United States. RX1 at 23:7-11.

¹ The correct spelling of this historic Ukrainian Port is properly “Odesa.” “Odessa” is the archaic Soviet-era spelling. See, <https://mfa.gov.ua/en/correctua>.

Response: Admit.

RPFF10. MTL acted as an NVOCC and freight forwarder of U.S. export cargo shipped by ocean and destined for, *inter alia*, Ukrainian and Russian ports, including the Port of Odesa, until February 2022. RX1 at 24:6-20.

Response: Admit.

RPFF11. CMA has transported cargo for MTL for years, pursuant to a series of service contracts filed at the FMC. RX2 at 69:19-70:4.

Response: Admit.

RPFF12. The FMC-filed service contract between MTL and CMA in effect from August 1, 2021 through July 31, 2022 was Service Contract 21-1782. RX3 (confidential).

Response: Unable to admit or deny as the referenced contract is not signed by MTL.

RPFF13. CIS Development Foundation, Inc. (“CIS”) is a 501(c)(3) non-profit organization with a principal place of business at 77 Mill Town Road, Suite A2, East Brunswick, New Jersey, 08816. RX4 (Bondarev Deposition) at 11:8.

Response: Admit.

RPFF14. CIS’s principal activities are sending humanitarian assistance to recipients located in Tajikistan, Ukraine, Estonia, Latvia, and Moldova. *Id.* at 11:21-12.2

Response: Admit.

RPFF15. Maria Bondareva is the President of CIS. *Id.* at 11:12.

Response: Admit.

RPFF16. Garry Pogil, Esq., MTL’s attorney, represented CIS in the deposition of Ms. Bondareva in this proceeding. *Id.* at 8:5-20.

Response: Admit.

RPFF17. CIS's President estimated that CIS ships approximately 40 containers annually from the United States to Ukraine. *Id.* at 12:8-11.

Response: Admit.

RPFF18. Ms. Bondarev testified that CIS did not provide its attorney, Mr. Pogil, with any documents in response to Respondent's subpoena. *Id.* at 10:21 – 11:4.

Response: Denied. The way CMA phrased this proposed finding of fact is misleading because it insinuates that CIS withheld documents; however, the complete answer that CMA shortened is as follows: "No, I don't have any documents. Julia might have them because she saved all the documents, but I don't have anything myself." This makes clear that CIS did not provide any documents because CIS did not have the requested documents, and any responsive documents were in the possession of MTL (Julia Privalova), which were provided.

2. Ukraine Shipments

RPFF19. Between December 28, 2021 and February 17, 2022, MTL booked shipments bearing bills of lading nos. NAM4996094; NAM4887650; NAM4887651; NAM5020932; and NAM4887632 with CMA CGM for transportation from Maher Terminal at the Port of New York to Odesa, Ukraine (the "Ukraine Shipments"). RX5 (NAM4996094); RX6 (NAM4887650); RX7 (NAM4887651); RX8 (NAM5020932) and RX9 (NAM4887632); and RX3 Service Contract No. 21-1782 (confidential).

Response: Admit that the subject shipments were destined for Ukraine.

RPFF20. The containers identified in the Complaint as comprising the Ukraine Shipments were:

1. Booking No. NAM4996094, Container No. UETU5251612, aboard the La Traviata, on February 17, 2022; *See* RX5 (CMA 2145-2148);
2. Booking No. NAM4887650, Container No. SEGU6471959, aboard the Dalila, on January 22, 2022; *See* RX6 (BOL NAM4887650);
3. Booking No. NAM4887651, Container No. UESU5180789, aboard the Vienna Express, on January 31, 2022; *See* RX7 (Dock Receipt NAM4887651);
4. Booking No. NAM5020932, Container No. TRLU7542206, aboard the La Traviata, on February 13, 2022; *See* RX8 (Dock Receipt NAM5020932); and
5. Booking No. NAM4887632, Container No. TGBU5073710, aboard the Chicago Express, on December 28, 2021; *See* RX9 (BOL NAM4887632).

Response: Admit.

RPFF21. The contracts of carriage applicable to each Ukraine Shipment included: (1) the applicable CMA tariff provisions (RX15); (2) CMA's standard bill of lading terms and conditions (RX16); and (3) Service Contract No. 21-1782 (RX3)(confidential).

Response: Denied. The referenced CMA's tariff says: "If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply..." As was shown in the opening brief (e.g. page 2), the diversion was not in accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF 22. On February 24, 2022, the Ukraine Shipments were on the water, at different locations, depending on the vessel, heading to Odesa. RX10 (Ristic Deposition) at 20:7-8.

Response: Denied. Mr. Ristic confirmed that the referenced transcript that the subject containers ended up in the Port of Constanta, not “different locations.”

RPFF23. On February 24, 2022, Russia invaded Ukraine. *See, e.g.,* RX1 (Privalova Deposition) at 24:6-14; United Nations News, Focus: Ukraine, available at: <https://news.un.org/en/focus/ukraine>.

Response: Admit that on or about February 24, 2022, a substantial conflict began between Ukraine and the Russian Federation that significantly affected commerce and transportation to and from Ukraine.

RPFF24. On February 24, 2022, the International Maritime Organization and the North Atlantic Treaty Organization issued warnings to vessels in the Black Sea. RX11.

Response: Admit that on or about February 24, 2022, a substantial conflict began between Ukraine and the Russian Federation that significantly affected commerce and transportation to and from Ukraine.

RPFF25. On February 24, 2022, the Government of Ukraine announced that as of February 26, 2024, all Ukrainian seaports on the Black Sea (including Odesa) would be closed to commercial vessel traffic. RX12.

Response: Admit that on or about February 24, 2022, a substantial conflict began between Ukraine and the Russian Federation that significantly affected commerce and transportation to and from Ukraine.

RPFF26. The Russian invasion of Ukraine caused disruptions to global trade second only to those caused by COVID. *See* Remarks by Senator John Carper, Chairman, Senate Subcommittee on International Trade, Hearing on Customs and Global Competitiveness, Senate Committee on Finance (May 21, 2024) (available at:

<https://www.finance.senate.gov/hearings/examining-trade-enforcement-and-entry-of-merchandise-at-us-ports>).

Response: Admit that on or about February 24, 2022, a substantial conflict began between Ukraine and the Russian Federation that significantly affected commerce and transportation to and from Ukraine.

RPFF27. The amount MTL claims to have charged to its customer, alleged to be CIS, for the shipment of the five Ukraine Shipments totaled \$11,525.00. RX1 (Privalova Deposition) at 79:2-12; RX2 (Solovyeva Deposition) at 208:22-209:3; CX27A.

Response: Admit.

RPFF28. On February 24, 2022, when Russia invaded Ukraine and it was announced that the Port of Odesa would be closed, CMA published a public notice to its customers saying “The CMA CGM Group has been closely monitoring the situation in Ukraine and the Black Sea region. Over the past several days, we have taken all necessary measures to protect our employees and ensure as much as possible the continuity of the supply chain. The safety of our employees and their families in Ukraine is our main focus. We are thankful to report that at the moment all of them are safe. As part of our business continuity plan, they will be working from home until further notice. Our security team will be monitoring developments 24/7 to ensure constant contact with them. In the interest of safety, the Group has decided to suspend all vessel calls to Ukraine as of today and until further notice.” RX13 The advisory also informed the shipping public that “floating cargo to Ukraine will be redirected to the ports of Constanza (Romania), Tripoli (Lebanon) or Piraeus (Greece).” *Id.*

Response: Unable to admit or deny as there is no evidence that CMA has sent this notice to MTL.

RPFF29. MTL learned of the closure of the Port of Odesa by notices from ocean carriers. RX2 at 51:1-4.

Response: This underscores that there is no evidence that CMA communicated this to MTL.

RPFF30. When it was announced that the Port of Odesa would be closed as of February 26, 2024, all CMA ships bound for Odesa were diverted to other destinations. RX10 at 20:7-8.

Response: Admit.

RPFF31. The Ukraine Shipments were diverted to the Port of Constanta, Romania. *Id.*

Response: Admit.

RPFF32. CMA was authorized to make these diversions under the terms and conditions of the applicable contracts of carriage, which are comprised of the applicable tariff, service contract, and bill of lading terms and conditions. *See supra*, RPFF21.

Response: Denied. The referenced CMA's tariff says: "If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply..." As was shown in the opening brief (e.g. page 2), the diversion was not in accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF33. Term 10 of CMA's bill of lading terms and conditions is a type of provision (sometimes referred to as a "deviation clause" or "liberties clause") commonly used in shipping. *Id.*

Response: Denied. Lack of foundation.

RPFF34. Under the applicable contracts of carriage, CMA could have required MTL to take delivery of the Ukraine Shipments at Constanta. *Id.*

Response: Denied.

RPFF35. Some customers, including MTL, requested that the cargo diverted to Constanta be transported to alternate final ports of delivery. Complainant's Exhibit 1.

Response: Admit.

RPFF36. CMA immediately began efforts to process such requests. RX20.

Response: Denied. Without explanation, the subject containers idled in Constanta for months, without the fault of MTL, and CMA tried to collect demurrage for that time before placing the containers to their final destination as requested by MTL initially to Bremerhaven. (See MTL's opening brief).

RPFF37. The re-routing of cargo from Constanta to other ports required a change of destination request ("COD") from the shipper. RX15 (CMA_1282-1285).

Response: The referenced CMA's tariff says: "If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply..." As was shown in the opening brief (e.g. page 2), the diversion was not in

accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF38. In some cases, because the original consignee may have been in Ukraine, some shippers also requested a change of consignee ("COC"). Complainant's Exhibits 18, 19.

Response: Admit.

RPFF39. If the applicable service contract had no rate on file for the routing from Constanta to the new place of delivery (POD), a new rate had to be negotiated, agreed between CMA and the customer, and filed in an amendment to the applicable service contract. RX15.

Response: The referenced CMA's tariff says: "If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply..." As was shown in the opening brief (e.g. page 2), the diversion was not in accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF40. The application for a COD or COC was required by CMA CGM's tariff to include certain elements, including an administrative fee to cover the additional work by CMA to process the COD, a commitment to pay the revised rate necessitated by the re-routing and rehandling. RX15.

Response: The referenced CMA's tariff says: "If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge

other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply..." As was shown in the opening brief (e.g. page 2), the diversion was not in accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF41. It is "very rare" for MTL to request a change in destination. RX2 at 59:1-9.

Response: Admit.

RPFF42. The Service Contract stated, [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED].” RX3 (confidential).

Response: MTL cannot admit or deny as the referenced contract is not signed by MTL.

RPFF43. The Bill of Lading, Term 10 stated, in part, "If at any time the Carriage is or likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind...and howsoever arising...the Carrier...may, without prior notice to the Merchant and at the sole discretion of the Carrier, either: [...] abandon the Carriage of the Goods and place the Goods at the Merchant's disposal at any place or port

which the Carrier may deem safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease.” RX16.

Response: Admit that this is what the Bill of Lading says.

RPFF44. The Bill of Lading, Article 11(6) stated, “In the event the Carrier agrees, at the request of the Merchant, to amend the Place of Delivery stated herein, the Terms and Conditions of this Bill of Lading shall continue to apply, only to the extent provided by the Applicable Tariff, until the Goods are delivered by the Carrier to the Merchant at the amended Place of Delivery. If the Applicable Tariff does not explicitly provide for the continued application of the Terms and Conditions of the Bill of Lading then the Carrier shall act as agent only to the Merchant in arranging for delivery of the Goods to the amended Place of Delivery but shall then be under no liability whatsoever for loss, damage or delay to the Goods, howsoever arising.” RX16.

Response: Admit that this is what the Bill of Lading says.

RPFF45. The CMA Tariff Rule required any request for a COD to be received “no later than two working days prior to the vessel's arrival at the interchange port. The Carrier will endeavor to satisfy the request but will not be responsible if the diversion cannot be effected. Customs authorities/local regulations at some destinations may require that diversions be effected earlier than two working days. In such instances it is the Shipper's responsibility to comply with such regulations. Fines resulting from failure to comply will be for the account of the cargo.” RX15.

Response: The referenced CMA’s tariff says: “If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge

other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply...” As was shown in the opening brief (e.g. page 2), the diversion was not in accordance with MTL’s instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF46. Between March 3 and March 25, 2022, MTL, through Account Manager Julia Privalova, requested a Change of Destination (“COD”) for each of the five Ukraine Shipments, from Odesa to Bremerhaven, “due to the ongoing war in Ukraine.” RX17 (CMA_133); RX19 (CMA_188); RX1 (Privalova Deposition) at 62:17-64:11.

Response: Admit.

RPFF47. Consistent with the applicable published tariff, CMA’s autoreply email to Ms. Privalova stated, in red capital letters:

“***PLEASE NOTE THE BELOW INFORMATION FOR ALL COD REQUESTS***

- All COD requests are subject to approval and are not guaranteed.” RX20 (CMA_82).

Response: The referenced CMA’s tariff says: “If, after CMA CGM has taken possession of the cargo, shipper requests diversion to a point or port of discharge other than the one showing on the booking confirmation and the cargo is diverted **in accordance with that request** (*emphasis added*), the following charges shall apply...” As was shown in the opening brief (e.g.

page 2), the diversion was not in accordance with MTL's instructions: the instructions requested Bremerhaven, not Constanta or anywhere else.

RPFF48. On March 15, 2022, CCA worked to find new routings, applicable rates, and asked local agents to confirm the deadline for the requested diversion for Booking No. NAM4887632 and was able to update the booking on April 28, 2022. RX21 (CMA_68-CMA_76)(confidential). As of April 1, 2022, the bill of lading was locked and the Diversions Team continued to work on the COD. *Id.* (CMA_69)(confidential). On April 28, 2024, the booking was updated. *Id.* (CMA_68)(confidential).

Response: Denied. As MTL wrote to CMA on April 21, 2022: "Please help. Container is idling in Constanta port, but we didn't ask to deliver it there, we asked to delivery to BREMERHAVEN!!! Why nothing is being done?? Why is my customer being chased and asked to pay for storage/demurrage???? I need this to be resolved today, please." (Compl. Ex. 7).

RPFF49. On March 25, 2022, Ms. Privalova also requested that CMA change the consignee on the bills of lading for the Ukrainian Shipments from the original consignee, Andrey Kodryanka in Odesa, to either FavoritPlus (for NAM4887632) or Interfracht (for NAM4996094, NAM5020932, NAM4887650, and NAM4887651) in Bremerhaven. RX22; RX18 (CMA_146); RX17 (CMA_133).

Response: Admit.

RPFF50. In connection with its COD requests, MTL was advised that it would be responsible for "additional costs, not covered under service contract rate" including "i.e.,

storage charges, customs fines, etc.” for each of the Ukraine Shipment containers. RX17(CMA_128); RX18 (CMA_142); RX23 (CMA_173).

Response: There is no evidence that CMA ever advised MTL that demurrage would be assessed for the time that the subject containers were idling in Constanta for months without the fault of MTL, at a place that MTL did not request for such to be delivered.

RPFF51. MTL agreed to be responsible for all such charges related to its COD requests when Ms. Privalova wrote back, “Confirmed, please proceed.” RX17 (CMA_122); RX18 (CMA_139).

Response: There is no evidence that CMA ever advised MTL that demurrage would be assessed for the time that the subject containers were idling in Constanta for months without the fault of MTL, at a place that MTL did not request for such to be delivered, and neither MTL or its customers ever agreed to such.

RPFF52. The Ukraine Shipments were discharged at Bremerhaven on June 8, 2022. RX28 (CMA_2152)

Response: Denied. This is explicitly contradicted by the fact that, for example, on July 5, 2022, CMA wrote: “We are planning to load container on Stadt Dresden on Jul19 to Bremerhaven. Please advise if Cnee will be Favorit Plus or to be amended. Thanks to revert with payer and payment location of charges occurred in Constanta, i.e. storage and yard moves since without duly manifested charges container won’t be loaded.” (Compl. Ex. 9). It is noteworthy that this email (Compl. Ex. 9) was not produced by CMA in discovery.

RPFF53. Following arrival at Bremerhaven, the consignee named by MTL, Interfracht, refused to take delivery of containers under shipments NAM5020932, NAM4887650, NAM4887651, and NAM4996094. RX24 (CMA_1217-1220)

Response: Denied. MTL's testimony on this point is as follows at RX_2, page 153: "The containers were in Germany for three or four months collecting storage charges. The consignee refused to give those containers and because the charges – the storage charges, demurrage charges, all the other charges from the CMA were not cancelled."

This testimony by MTL is consistent with CMA's referenced internal email (RX_24), that says: "Means another 2 ½ weeks storage and D&D are running. They claimed they are not responsible for the charges since the container were originally booked to Ukraine."

RPFF54. Interfracht claimed that MTL placed Interfracht as consignee on those four shipments without approval or confirmation from Interfracht. *Id.* at CMA_1217, CMA_1220.

Response. Denied. See response to #53 above.

RPFF55. As of July 15, 2022, MTL was aware of the rejection and was "looking for a solution." RX24 (CMA_1220).

Response. Denied. See response to #53 above.

RPFF56. On July 22, 2022 Interfracht, the new consignee designated by MTL for four of the Ukraine Shipments (NAM4996094, NAM5020932, NAM4887650, and NAM4887651), sent letters of renouncement to CMA, disclaiming any interest in

the cargo and stating that Interfracht had been “placed as Consignee without their approval.” RX29 (CMA_1153).

Response: Denied. See response to #53 above. Additionally, on page 1154 of RX_29, CMA admits the following: “These four containers have been idle in BRV due to CMA generating incorrect BL’s (wrong consignee listed) during COD process. MTL advised that the incorrect BL’s prevented Interfracht from pulling EQ which is cause for port storage and D&D to accrue.”

RPFF57. On July 27, 2022, CMA representative Antwaun Majors emailed MTL, “[T]he consignee sent in letters of renouncement. Can you please check and confirm with them if they are still accepting cargo?” RX30 (CMA_1006).

Response: See responses to #s 53 and 56.

RPFF58. On August 2, 2022, CMA having received no response to this July 27, 2022 email, CMA’s Andre Ristic again asked MTL “Can you please check and confirm with them [Interfracht] if [they] are still accepting cargo?” *Id.* at CMA_1004.

Response: See responses to #s 53 and 56.

RPFF59. MTL responded on August 2, 2022, that Interfracht “will accept the cargo if all charges are removed.” *Id.* at 1003.

Response: Admit.

RPFF60. In order to facilitate the delivery, CMA waived in advance all storage, detention and demurrage charges with respect to each of the five Ukraine Shipments. RX31 (CMA_519); RX32 (CMA_520); RX29 (CMA_1129); RX2 (Solovyeva Deposition) at 153:11-14, 166:4-6, 180:18-181:2.

Response: Denied. The reason why CMA finally began looking at this issue is because of threats of lawsuits. (See for example Compl. Ex_15).

RPFF61. On August 8, 2022, Ms. Solovyeva requested CMA forward all charges at destination to MTL. RX1 (Privalova Deposition) at 66:1-21.

Response: Denied. CMA here again tries to mislead the Commission by trying to make it seem as though MTL requested the storage and detention charges for the first time in August of 2020, but the following email from August 10, 2022 found at Compl. Appx (Vol II), Ex. 29 reads differently: “**Still no invoices.** I do not understand how you can hold the containers due to the unpaid balance for the demurrage and storage charges, But cannot give us the invoice where we will see the charges.”

RPFF62. MTL was not required to pay detention, demurrage or storage charges for any of the Ukraine Shipments. RX27; RX28; RX31; RX32; RX33; RX2 at 153:11-14, 166:4-6, 180:18-181:2. See also, RPFFs 109-119.

Response: Denied. See response to #62 above. At least as of August 10, 2022, after not being released for months, CMA refused to release the subject containers until there were constant threats of lawsuits.

RPFF63. On September 5, 2022, CMA’s agent in Germany reported that all containers were picked up by Interfracht (September 3-4), and CMA waived (“rejected” in CMA’s LARA system) all demurrage and detention charges that had accrued. RX35 (CMA_1164).

Response: See response to #61 above.

RPFF64. The Ukraine Shipments idled at Bremerhaven for 87 days due to MTL's designated consignee refusing to accept delivery of the containers. RX35; RX28.

Response: Denied. See response to #53 above. Additionally, on page 1154 of RX_29, CMA admits the following: "These four containers have been idle in BRV due to CMA generating incorrect BL's (wrong consignee listed) during COD process. MTL advised that the incorrect BL's prevented Interfracht from pulling EQ which is cause for port storage and D&D to accrue."

3. Rolled Shipments

RPFF65. MTL's complaint also references three containers (the "Rolled Shipments") which were shipped by MTL via CMA and which were rolled² to a later vessel by CMA:

1. Booking No. NAM3933751, Container No. TCNU3475181, to be loaded at the Port of New York and destined for El Khoums, Libya; RX36 (CMA 516-518);
2. Booking No. NAM4588370, Container No. BMOU5265030, to be loaded at the Port of New York and destined for Odesa, Ukraine; RX37 (CMA 1286 – 1287); and
3. Booking No. NAM5194626, Container No. FFAU4420241, to be loaded at the Port of New York and destined for Riga, Latvia; RX38 (CMA 529-531).

Response: Admit.

i. Libya Jet Ski Shipment

RPFF66. Booking NAM3933751 involved a shipment of a container containing used cars and a jet ski to be loaded at the Port of New York, and delivered to El Khoums, Libya, with an intermediate transshipment at Valetta, Malta. RX36. Booking No.

² Rolling cargo, which may be necessary for a number of reasons, is the process of delaying the loading of a container from the anticipated vessel to a later vessel.

NAM3933751, Container No. TCNU3475181, to be loaded at the Port of New York and destined for El Khoums, Libya; RX36, CMA 516-518;

Response: Admit.

RPFF67. The jet ski in the container was a 2004 Yamaha jet ski. *Id.*

Response: Admit.

RPFF68. The CMA Booking Confirmation for this shipment stated, *inter alia*, “For Automobile Shipments, if the container is received at the port and fails to meet any customs requirements. . . the booking will be rolled and applicable charges will be assessed.” RX39 (CMA_163).

Response: Admit.

RPFF69. EU Council Regulation 2017/1325, of July 17, 2017, amended EU Council Regulation 2016/44, which imposed restrictive measures on transportation of cargo from EU member states to Libya, adding motor and inflatable boats to the list of items for which prior authorization was required for transport to Libya. RX40.

Response: Unable to admit or deny.

RPFF70. EU Council Regulation 2017/1325 covered jet skis within the term “motor and inflatable boats.” *Id.*

Response: Denied. Jet skis do not appear anywhere in the noted restrictions. This is consistent with the fact that other carriers were shipping boats and jet skis to Libya. (See Compl. Appendix (II), Ex_41).

RPFF71. EU Council Regulation 2017/1325 applied to transshipment to Libya through EU member states equally as to cargo shipped from an EU member state to Libya. *Id.*

Response: Denied.

RPFF72. This EU Regulation was in effect in 2020 when MTL delivered the container for Booking NAM3933751, which included the jet ski, to CMA at the Port of New York. RX36 (CMA_518).

Response: Denied. See response to #70 above.

RPFF73. Booking NAM3933751 was originally scheduled to sail from New York on June 23, 2020. CX39.

Response: Denied. The June 23, 2020 date is not contained in CX39.

RPFF74. CMA Export Control flagged the shipment due to the EU regulation on jet skis. RX41 (CMA_926-CMA_937).

Response: Denied. See response to #70 above.

RPFF75. On June 19, 2020, CMA informed MTL that the shipment would have to be rolled, stating that, “Boats [such as the jet ski] are restricted or sensitive as per EU regulation on Libya as they are used to human beings trafficking and smuggling,” so the shipment would need to be rolled. *Id.*

Response: Denied. The referenced pages do not contain the proposed fact that on June 19, 2020, CMA informed MTL of this. Such is corroborated by MTL’s deposition testimony at RX_2, pages 227-228: “It cannot be 19th because CMA was advised officially on the 22nd.” “Okay. So you see here we were advised by trade on the 22nd. So that means that the vessel—the container was still good to go before the 22nd. It could be loaded.”

RPFF76. Later that day, on June 19, 2020, MTL responded, “There are no boats in the container. We loaded 3 cars and a jet ski.” *Id.*

Response: Denied as to the date. See response to #75 above.

RPFF77. On June 22, 2020, CMA confirmed that, “Per Malta customs, Jet skis fall under the same category.” *Id.*

Response: Denied. Irrespective of asking for such, CMA never produced any communication from any Malta customs. Additionally, see response to #70 above.

RPFF78. Because of the EU rules, CMA rolled Booking NAM3933751 from its expected sailing on June 23, 2020. *Id.*

Response: See responses #70, 76 and 77 above.

RPFF79. Had CMA loaded and transported the container with the jet ski in it, the entire container would have been rejected by Customs at Malta, subject to additional storage and handling costs at the terminal there, then required to be either abandoned, returned to the U.S. or shipped to a destination other than Libya, all at MTL’s expense. CMA Tariff Publication provides that “Except as otherwise provided, this tariff does not provide for returned cargo. All returned cargo will be handled as regular shipments, and rates quoted will be those in effect at the time of the return cargo.” RX42 (CMA Tariff Rule 018).

Response: See responses #70, 76 and 77 above.

RPFF80. On June 26, 2020, MTL reached out to CMA about this container, saying, “Subject booking was rolled by mistake.” RX43 (CMA_ 953).

Response: Admit.

RPFF81. MTL took no other action with respect to this container at that time. *Id.*

Response: Denied. The referenced page notes that in support of its request to remove all roll-over charges, MTL provided all relevant shipping documents.

RPFF82. Booking NAM3933751 was by necessity rolled again in July 2020, as it still contained the illicit jet ski. *Id.* at CMA_950.

Response: Denied. See responses #70, 76 and 77 above.

RPFF83. On August 7, 2020, CMA's Account Manager for MTL, Andre Ristic, responded to an inquiry from MTL and explained that "MTL was twice made aware that jet skis would not be accepted effective immediately on the automatic notice & my notice which were sent before both rolls occurred." *Id.* at CMA_948-CMA_949.

Response: Denied. See responses #70, 76 and 77 above.

RPFF84. Mr. Ristic offered at that time to discount MTL's accrued detention and demurrage charges for this shipment but stated that "CMA cannot absorb [extra drayage / unstuffing / re-loading charges] for any customers as this was not a CMA decision to reject this cargo. It was EU mandate." *Id.*

Response: See responses #70, 76 and 77 above.

RPFF85. MTL has not shipped any jet skis to Libya since 2022. RX2 (Solovyeva Deposition) at 40: 7-9.

Response: Admit.

ii. 2022 Rolled Shipment

RPFF86. Booking No. NAM5194626 involved the shipment of used automobiles bound for Riga, Latvia, in March of 2022 that CMA rolled. RX44.

Response: Admit.

RPFF87. CMA canceled all invoices for charges associated with the rolling. RX44 (CMA_47595).

Response: Yes, after the above-captioned matter was filed with the Commission in September of 2022, CMA cancelled the charges associated with this booking in January of 2023.

4. Ongoing Business

RPFF88. Although neither MTL nor CIS produced any documents corroborating this testimony, both CIS and MTL's Julia Privalova testified that MTL continues to do business with customer CIS. RX4 (Bondarev Deposition) at 13:3-7; RX1 (Privalova Deposition) at 34:16-22.

Response: The issue not whether MTL continues to do business with CIS, but to the extent that the fact that MTL's client (Kodryanka) stopped working with MTL. MTL testified on this point as follows:

MTL's deposition testimony as to damages:
(RX_2, at p. 127)

Q. Who was your customer?

A. My customer is Kodryanka and CIS.

(RX_2, at p. 239-240):

Q. Did MTL lose profits because of the containers that CMA stuck in Bremerhaven?

A. MTL lost customer and potential business.

Q. Okay.

A. I think – and I has nothing to do with the—with the tax returns and the federal taxes.

Q. Okay. What customer did MTL lose?

A. Kodryanka.

Q. Okay. Did Kodryanka ever provide money to CMA – I mean to MTL directly and not through CIS?

A. Kodryanka is the part, essential part of the CIS Development. Andrey Kodryanka stopped business with the MTL and he – he doesn't want to work with MTL. Then MTL essentially is losing that and it has nothing to do with my returns.

(RX_2, at p. 241-243)

Q. What is the basis for the amount of actual damages?

A. Very simple. The account what I lost – Kodryanka was very active and it was producing a lot of shipments so just in one year, it's \$82,000, and it was one—it was in '22 he stopped in May working with us. So you see for two years I'm not receiving no income because he doesn't work with me, just multiply, first of all.

Second of all, also, reputation is damaged badly. I received—that part of the business—I mean, Moldavia and Ukraine I lost a lot. I mean the general cargo I don't have no more.

I lost that part of the business, the general cargo going to Moldavia and to Ukraine. Everything that I have right now left is just for the commodity used vehicles—used vehicles.

So what I'm saying to you—that you see that my customers who are working with me and they start working with me. I grew them. I—my job is to grow together with my customers and do whatever is possible for them so they would get stronger and produce more. This is my job.

I have customers who are working with me for the past 15 years and they started just from one container and now they are loading 50 containers every month. So all this potential, all this business, I lost. Besides that, I also have a very bad name right now in Moldavia and Ukraine. Everybody is talking about those containers still.

RPFF89. CIS' Maria Bondarev testified that Consignee Kodryanka continues to do business with CIS. RX4 (Bondarev Deposition) at 15:18-16:9. Neither MTL nor CIS have produced any documentation corroborating this testimony, nor is there any in the record.

Response: See response to #88 above.

RPFF90. Also according to CIS's Bondarev, CIS exports an average of just under two hundred shipments annually. RX4 (Bondarev Deposition) at 20:13-21.

Response: Admit.

RPFF91. Also according to Ms. Bondarev, of those estimated two hundred yearly CIS shipments, Kodryanka is the consignee for approximately fifteen containers annually. *Id.* (Bondarev Deposition) at 15:20-16:9.

Response: Admit.

RPFF92. Bondarev testified that CIS continues to do business with MTL. *Id.* at 13:3.

Response: Admit. Also see response to #88 above.

RPFF93. Bondarev testified that CIS continues to work with Kodryanka. *Id.* at 15:18.

Response: Admit; however, in the cited page CIS says that Kodryanka did not work with CIS for approximately six months because of the allegations in the complaint with respect to the subject containers destined for Ukraine.

RPFF94. CIS no longer sends cargo to Odesa. *Id.* at 19:3-4.

Response: Admit as to the City of Odessa in Ukraine; however, CIS said on page 19 that that they continued to send cargo to Ukraine.

RPFF95. MTL almost doubled its business with CMA between fiscal years 2022 and 2023, with almost 2,400 TEU moved on behalf of MTL by CMA in 2023. RX10 (Ristic Deposition) at 40:12-25.

Response: Unable to confirm or deny as CMA did not produce the documents that Mr. Ristic's hearsay testimony was based on.

RPFF96. On January 31, 2024, the Presiding Officer ordered MTL to produce "MTL's Federal and state tax returns for each of the most recent 3 years and financial statements for 2019-2021." Order at p. 7.

Response: Admit.

RPFF97. MTL did not produce any documents in response to the January 31, 2024 Order.

Response: Denied, and this is a blatant misrepresentation to the Commission. There were two productions made after the January 31, 2024 Order via Dropbox: On February 1, 2024 and February 15, 2024. (See attached exhibit as proof of such).

RPFF98. No documents reflecting MTL's profits or losses were produced by MTL in response to discovery requests.

Response: Although the tax returns were not produced (See response to #88 above), documents produced showed the volume of business that was lost for two customers in connection with the Ukrainian shipments and the losses in connection with the jet ski allegations in the complaint.

RPFF99. No expert testimony was offered by MTL regarding its profit or losses.

Response: Admit.

RPFF100. MTL's owner, Alla Solovyeva, refused to provide testimony regarding MTL's profits when asked about it at deposition. RX2 (Solovyeva Deposition) at 239: 9-21.

Response: Denied. The exact response is found as mentioned in the response to #88 above.

RPFF101. Following her deposition, Ms. Solovyeva executed an affidavit purporting to attest to matters she was either unable or unwilling to testify to in her deposition, including MTL's profits.

Response: The affidavit speaks for itself and supplements her deposition testimony at RX_2.

RPFF102. Ms. Solovyeva refused to provide testimony regarding when MTL had last filed a Federal tax return. RX2 at 237: 4-13.

Response: Denied. On page 238, Ms. Solovyeva confirmed that MTL filed federal tax returns every year for the past five years. Additionally, See response to #88 and 101 above.

RPFF103. Ms. Solovyeva testified that she did not know what MTL's net profits were for either 2020 or for 2023. *Id.* at 238: 9-15

Response: Admit.

RPFF104. Ms. Solovyeva testified “...my taxes and my profit, it has nothing to do with the CMA and the four containers in Bremerhaven, absolutely not.” *Id.* at 239:9-21.

Response: The exact response is found as mentioned in the response to #88 above.

RFPP105. When asked at deposition about how MTL arrived at a figure of \$600,000 in reparations for the Amended Verified Complaint, which she signed, Ms. Soloyeva testified “...I can make billions, and we cannot say what percentage of the billions was [lost business from Kodryanka].” *Id.* at 243:9 - 244:2.

Response: Denied. See response to #88 above.

RPFF106. Following her deposition, Ms. Solovyeva executed an affidavit purporting to attest to matters she was either unable or unwilling to testify to in her deposition, including calculation of MTL’s alleged damages.

Response: The affidavit speaks for itself and supplements her deposition testimony at RX_2.

RFPP107. CMA requested MTL’s financial statements repeatedly in discovery.

Response: Admit.

RFPP108. MTL was compelled to produce financial statements by an Order of the Presiding Officer.

Response: Admit.

RFPP109. MTL never produced any type of financial records in response to CMA’s discovery requests. Indeed, on February 15, 2024, in response to CMA’s Requests for

Production of Documents, MTL's counsel stated that "the tax returns or other financial documents would not capture these nuances." RX45.

Response: The number of export shipments that MTL made from 2020-2023 was produced, along with the transactions history of the clients that MTL lost.

RFPP110. MTL never produced any type of financial records in response to the Presiding Officer's Order.

Response: See response to #109 above.

RFPP111. MTL never produced any type of financial records as a part of its required initial disclosures.

Response: See Exhibits 55-56.

RFPP112. On December 20, 2023 (confirmed via email dated December 22, 2023), counsel for MTL represented that financial records and information would be provided by Ms. Solovyeva in deposition testimony, that later took place on January 27, 2024.

Response: The following is a verbatim response of the December 22, 2023 email:
Good morning,

Instead of today, let's have another call when CMA will produce more documents so we can discuss everything, including CMA's deficiencies in production, which include failure to produce any documents in response to requests #s 6 and 7. I agree with the below, except that the start time for CMA's witnesses I said would be 10am.

The following is the caselaw that I used to argue on a case (not before the FMC) where taxes were sought.

"While it is well-settled that 'tax returns in the possession of the taxpayer are not immune to civil discovery,' courts are cautious in ordering their production and have ordered such disclosure only upon satisfaction of a two-prong test: (1) relevance and (2) substantial need

because the information is not otherwise readily available. (Citing St. Regis Paper Co. v. United States, 368 U.S. 208, 218-19 (1961))” Sabatelli v. Allied Interstate, Inc., CV05-3205 (ARL) at 1 (E.D.N.Y. Sep. 13, 2006). The court in Sabatelli went on to conclude: “While the defendants’ financial information is clearly relevant to the issue of punitive damages, the second prong of this test has not been satisfied. Here, the information sought is otherwise readily available in that plaintiff may make inquiry during the depositions of these defendants as to this information. This deposition testimony should suffice to provide an adequate picture of defendants’ financial status.” Id. at 2

RPFF113. CIS was properly served with a subpoena on December 29, 2023 directing it to produce “If not otherwise included in response to Request for Production 1, all documents, records, and communications that have been exchanged with, presented to, shared with, obtained by, or given to any component part, owner, agent, or employee of MTL, including but not limited to Alla Solovyeva and Julia Primalova, between January 1, 2019 and December 31, 2022.”

Response: Admit.

RPFF114. CIS never produced any documents as required by the subpoena for documents signed by the Presiding Officer in this Proceeding.

Response: Denied. On February 1, 2024, via Dropbox, emails were produced between Favoritplus (Kodryanka’s agent), CIS, and MTL.

RPFF115. CMA filed a petition seeking an order enforcing the subpoena in the Federal District Court for the District of New Jersey. That proceeding is still pending.

Response: Admit. CIS filed a detailed opposition response with exhibits, arguing that there is nothing to compel, as CIS appeared for a deposition and responsive documents have been produced.

- RPFF116. No document in the record reflects MTL's gross profits for the year 2021.
- RPFF117. No document in the record reflects MTL's gross profits for the year 2022.
- RPFF118. No document in the record reflects MTL's gross profits for the year 2023.
- RPFF119. MTL did not pay any detention or demurrage to CMA related to the Ukraine Shipments.

1. Settlement of Claims

- RPFF120. On January 21, 2020, Ms. Solovyeva agreed on behalf of MTL to [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] The Confidential Settlement was filed with the Federal Maritime Commission and was approved by both the ALJ and the FMC in FMC Docket No. 18-07.

Response: Admit.

- RPFF121. On July 14, 2020, CMA issued a Credit Note to MTL for basic freight, bunker surcharges NOS, and change of vessel or destination, including roll over charges on NAM39333751/TCNU3475181 in the amount of (\$2,034.00). RX46 (CMA_1398).

Response: Admit.

- RPFF122. On July 26, 2022, CMA issued a Credit Note to Lat Fast Logistics on NAM5194626 for equipment detention and demurrage import in the amount of (EUR190.00). RX47 (CMA_2150).

Response: Unable to admit or deny as there is no proof provided that this credit was applied to this entity's account or that this entity received such notice.

RPFF123. On September 12, 2022, CMA issued a Credit Note to MTL for basic freight and bunker surcharge NOS on NAM4997632/TGBU5073710 in the amount of (\$474.00). RX48 (CMA_1582).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPFF124. On September 12, 2022, CMA issued a Credit Note to MTL for basic freight and bunker charges on NAM4996094/UETU5251612 in the amount of (\$934.00). RX31 (CMA_519).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPFF125. On September 12, 2022, CMA issued a Credit Note to MTL for basic freight and bunker surcharges on NAM4887651/UESU5180789 in the amount of (\$934.00). RX32 (CMA_520).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPFF126. On September 12, 2022, CMA issued a Credit note to MTL for basic freight and bunker charges on NAM3887632/TGBU5073710 in the amount of (\$474.00). RX33 (CMA_711).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPF127. On September 22, 2022, CMA issued a Credit Note to Interfracht on NAM4887650/SEGU6471959 for equipment detention and demurrage import in the amount of (EUR11,940.00). RX28 (CMA_2152).

Response: Unable to admit or deny as no proof was presented that Interfracht received any credit; however, even if they did, such credit was authorized after the above-captioned matter was filed with the Commission.

RPF128. On September 22, 2022, CMA issued a Credit Note to Interfracht on NAM5020932/TRLU7542206 for equipment detention and demurrage import in the amount of (EUR12,210.00). RX27 (CMA_2152).

Response: Unable to admit or deny as no proof was presented that Interfracht received any credit; however, even if they did, such credit was authorized after the above-captioned matter was filed with the Commission.

RPFF129. On January 18, 2023, CMA issued a Credit Note to MTL for equipment export demurrage charges on NAM5194626 / FFAU4420241 in the amount of (\$3,010.00). RX50 (CMA_2216).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPFF130. On February 5, 2024, CMA issued a Credit Note to MTL for storage at transshipment ports full container and restowage of NAM4887632/TGBU5073710 in the amount of (\$2,028.00). RX34 (CMA_95417).

Response: Admit that such credit note was issued after the above-captioned matter was filed with the Federal Maritime Commission.

RPFF131. With respect to the invoice referenced in Complainant's PFF14, [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] [REDACTED] [REDACTED] RX51 (CMA_95432 -CMA_95435)(confidential).
[REDACTED]
[REDACTED]
[REDACTED]. *Id.*

Response: See MTL's PFF #14.

Dated: June 26, 2024

Garry Pogil

Garry Pogil (Attorney for the Complainant)